decision.

Dividends

"Dividends" are an extremely important aspect of stocks that can give you a very good incoming cash flow. If you have planned well and want more assured returns, invest for dividends rather than to increase the stock value of the company.

Dividends are the returns you get as a share holder of the company in which you are a partial owner. Dividends are paid out of earnings, unless the company ploughs all the earnings back into the company to fuel future growth.

Whenever a company earns a profit, it distributes part of the profit as dividend to stock holders. The amount of dividend paid out by the company is best measured by the dividend payout ratio[38], which is defined as the ratio of dividend distributed by the company to the Total Profit earned after Tax[39] (PAT). If a company has a dividend payout ratio of over 50% it means that the company is distributing 50% of the earnings back to its shareholders and may be investing the remaining 50% to fuel future growth. Such companies with a dividend payout ratio of 50% or more are said to be distributing the dividend 'generously'.

However, there is an alternative way of measuring how much dividend you get on a stock — called the dividend yield[40]. This is the amount of dividend you get per stock divided by the price you pay to buy the stock. Note that dividend yield changes as the price of the stock changes. The dividend yield of a stock can be high, either because the company has a high dividend payout ratio, or simply because its stock price is very low.

In any case, if what matters to you is the dividend you get for your money invested, you should look only at the dividend yield. In exceptional cases when the dividend yield is low because of the poor earnings of the company (due to some known environmental factors) but the dividend payout ratio is still high, it essentially means that the company is still distributing a good percentage of its earnings. In such a case the stock may